

Raccoon Manufacturing India Pvt. Ltd.
Procurement & Vendor Management

Vendor Contract Negotiation Playbook — FY2026

Annual SaaS & Vendor Services Contracting — Negotiation Standards, Guardrails and Escalation Protocol

Field	Detail
Document Owner	Procurement & Vendor Management (Head of Procurement)
Applies To	All annual SaaS subscriptions and external vendor services contracts
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Approving Function	Procurement, Finance, and Legal & Compliance

1. Purpose & Scope

This playbook establishes the mandatory negotiation standards to be followed by Raccoon Manufacturing India Pvt. Ltd. personnel, category managers, and any negotiation agent (human or automated) when negotiating annual SaaS subscriptions and external vendor services contracts on behalf of the company. It defines non-negotiable commercial and legal guardrails (“Hard Constraints”), preferred negotiation positions (“Soft Preferences”), permitted trade-offs, and the escalation path to be followed when a vendor's proposal falls outside acceptable parameters.

This document is binding on all procurement negotiators, category managers, and any AI-assisted or automated negotiation tooling used in vendor discussions. It does not override statutory requirements, existing Master Service Agreements, or specific board-approved exceptions.

1.1 Objectives

- Protect the company from unfavourable cost escalation, cash-flow risk, and exit lock-in.
- Ensure consistent, defensible negotiation positions across all vendor categories.
- Clearly separate terms that can be accepted autonomously from terms that require human/functional approval.
- Provide a documented audit trail for every negotiated deviation from standard terms.

2. Hard Constraints — Never Violate

The following constraints represent the outer boundary of acceptable contract terms. They must never be automatically accepted or waived by a negotiator or negotiation agent without the specified approval. Any vendor proposal that breaches a Hard Constraint must be logged as a violation and routed through the Escalation Protocol in Section 5.

2.1 Annual Price Escalation

Parameter	Target	Acceptable Range	Escalation Trigger
Price Escalation	3% per annum	≤ 5% (Preferred: ≤ 3%)	> 5% requires Executive (CFO/Head of Procurement) approval. Must NOT be auto-accepted.

2.2 Payment Terms

Parameter	Target	Acceptable Range	Escalation Trigger
Payment Terms	Net 60	Net 30 to Net 60	< Net 30 requires Finance approval.

2.3 Contract Termination Notice

Parameter	Target	Acceptable Range	Escalation Trigger
Termination Notice	30 days	≤ 60 days	> 60 days requires Legal approval.

2.4 Service Level Agreement (SLA)

Parameter	Target	Acceptable Range	Escalation Trigger
Uptime SLA	99.99%	≥ 99.9%	< 99.9% must NOT be auto-accepted. Service credits for SLA breach are mandatory in all cases.

2.5 Liability Cap

Parameter	Target	Acceptable Range	Escalation Trigger
Liability Cap	Unlimited (for data breach / confidentiality)	≥ 100% of Annual Contract Value (ACV)	< 100% of ACV requires Legal approval.

2.6 Data Ownership

Non-Negotiable

Raccoon Manufacturing India Pvt. Ltd. must at all times retain sole and exclusive ownership of all company data. The vendor may process, store, or transmit company data solely for the purpose of providing the contracted services and for no other purpose. Any clause asserting vendor ownership, joint ownership, or unrestricted vendor usage rights over company data must not be accepted under any circumstances and must be escalated to Legal immediately.

2.7 Data Deletion / Return

The vendor must delete or return all company data within 30 calendar days of contract termination or expiry, and must provide written certification of deletion upon request.

2.8 Auto-Renewal

Auto-renewal clauses are acceptable only where the company retains at least 30 days' advance notice to cancel prior to renewal. Auto-renewal terms that provide less than 30 days' cancellation notice, or that require notice earlier than 90 days before term end, must be rejected or renegotiated.

2.9 Price Lock

There must be no price increase of any kind during the initial contract term. Mid-term price revision clauses (including “market adjustment” or “cost pass-through” clauses) are not acceptable within the first 12 months of the agreement.

2.10 Subcontracting

- Material subcontracting of contracted services requires prior written notification to the company before the subcontractor is engaged.
- The primary vendor remains fully responsible and liable for the performance, security, and compliance of any subcontractor, with no dilution of the vendor's own obligations under the agreement.

3. Soft Negotiation Preferences

Soft preferences represent the company's preferred outcomes but are not absolute limits. Negotiators and negotiation agents may trade soft preferences against one another to reach an optimal overall commercial outcome, provided no Hard Constraint (Section 2) is breached in the process.

Preference Area	Preferred Position
Payment Terms	Net 60 preferred over Net 30
Termination Notice	30-day termination preferred over 60-day termination
Price Escalation	3% or lower preferred
SLA / Uptime	99.99% preferred over the 99.9% floor
Contract Duration	Annual price commitments preferred over multi-year lock-in
Liability (Data Breach / Confidentiality)	Unlimited liability preferred over capped liability

4. Trade-Off Principles

Soft preferences may be exchanged for one another to reach a mutually acceptable deal, but a favourable trade-off on one soft term can never be used to justify breaching a Hard Constraint. The following illustrative scenarios describe how trade-offs should be evaluated.

4.1 Permitted Trade-Offs (Illustrative)

- Accepting the full 5% escalation ceiling may be considered if the vendor offers materially improved payment terms (e.g., Net 60 or longer) or other meaningful commercial concessions, such as bundled services or volume discounts.
- Net 30 payment terms (rather than the Net 60 target) may be accepted if the vendor offers a meaningful, quantifiable price reduction in exchange.
- A 60-day termination notice period (rather than the 30-day target) may be accepted if other material protections improve — for example, enhanced SLA credits, a stronger liability position, or a favourable price lock.
- A longer notice-of-non-renewal window may be traded against a lower escalation rate, provided the auto-renewal Hard Constraint in Section 2.8 is still met.

4.2 Constraints That Can NEVER Be Auto-Accepted

Regardless of any compensating commercial benefit offered by the vendor, the negotiation agent must never automatically accept:

- **Price escalation greater than 5% per annum**
- **Payment terms shorter than Net 30**
- **Termination notice periods longer than 60 days**
- **SLA uptime commitments below 99.9%**
- **Liability caps below 100% of Annual Contract Value**
- **Vendor ownership, co-ownership, or unrestricted use of Raccoon Manufacturing India Pvt. Ltd. data**

Each of the above requires the relevant functional approval (Executive, Finance, or Legal, as specified in Section 2) before it can be incorporated into a binding agreement.

5. Escalation Protocol

This protocol governs the required sequence of actions whenever a vendor proposal breaches a Hard Constraint defined in Section 2. It applies equally to human negotiators and any automated or AI-assisted negotiation agent operating under this playbook.

1. Do not automatically accept the non-compliant term. The proposal must be held in a pending state pending further action.
2. Record the violation in the Negotiation Exception Log (Section 5.2), noting the specific clause, the proposed value, the applicable Hard Constraint, and the vendor's stated justification, if any.
3. Attempt to negotiate a compliant alternative with the vendor — for example, by proposing a revised term within acceptable range, or by offering a soft-preference trade-off consistent with Section 4.
4. If no compliant alternative can be reached, escalate the matter to the designated human approver before any further commitment is made to the vendor.

5.1 Escalation Ownership by Constraint

Hard Constraint Breached	Escalation Owner
Price escalation > 5%	CFO / Head of Procurement (Executive Approval)
Payment terms < Net 30	Finance Controller
Termination notice > 60 days	Legal & Compliance
SLA uptime < 99.9%	Head of Procurement + IT/Service Owner
Liability cap < 100% of ACV	Legal & Compliance
Vendor claims data ownership	Legal & Compliance (Immediate Escalation)
Data deletion period > 30 days post-termination	Legal & Compliance
Auto-renewal notice < 30 days	Head of Procurement

5.2 Negotiation Exception Log — Required Fields

Every Hard Constraint violation raised during negotiation must be logged with the following minimum information before escalation:

- Vendor name and contract reference number
- Clause reference and verbatim proposed language
- Hard Constraint breached and the approved standard
- Vendor's justification (if provided)
- Alternative(s) proposed by the negotiator/agent and vendor response
- Escalation owner notified and date of escalation
- Final resolution and approval reference (or record of rejection)

5.3 Timelines

Escalation Step	Target Turnaround
Logging the violation	Same business day as identification
First attempt at compliant alternative	Within 2 business days

Escalation Step	Target Turnaround
Escalation to approver (if unresolved)	Within 1 business day of failed negotiation
Approver decision	Within 5 business days of escalation

6. Roles & Responsibilities

Role	Responsibility
Category Manager / Negotiator	Leads day-to-day negotiation; applies Sections 2–4; logs exceptions.
Negotiation Agent (AI-assisted)	Applies Hard Constraints and Soft Preferences automatically; must halt and escalate rather than auto-accept any Hard Constraint breach.
Head of Procurement	Owns this playbook; approves escalations for termination-notice and SLA/auto-renewal exceptions; signs off final vendor selection.
Finance Controller	Approves exceptions to payment terms; validates ACV and liability cap sizing.
Legal & Compliance	Approves exceptions to termination notice, liability cap, data ownership, and data deletion terms; reviews final contract redlines.
CFO / Executive Sponsor	Approves price escalation exceptions above 5%; final authority on material commercial deviations.

7. Governance

- This playbook must be reviewed at least annually by Procurement, Finance, and Legal, and updated to reflect changes in company risk appetite, statutory obligations, or market conditions.
- All final executed contracts must be reconciled against this playbook prior to signature by an authorised Raccoon Manufacturing India Pvt. Ltd. signatory.
- Any deviation approved under the Escalation Protocol must be retained in the Negotiation Exception Log for audit purposes for the life of the contract plus 3 years.
- This document is Confidential and for internal use only. It must not be shared with vendors or external parties.

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